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Los Angeles Unified School District

333 South Beaudry Ave,
Los Angeles, CA 90017

Board of Education Report

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Receipt of Results of the November 2022 GO Bond Sales and Comparison of Good Faith Costs of Issuance Estimates and Actuals

INTEROFFICE CORRESPONDENCE

Los Angeles Unified School District
Office of the Chief Business Officer

INFORMATIVE

DATE: November 28, 2022

TO: Members, Board of Education
Alberto M. Carvalho, Superintendent

FROM: David D. Hart
Chief Business Officer

SUBJECT: RESULTS OF THE NOVEMBER 2022 GO BOND SALE AND COMPARISON OF GOOD FAITH COSTS OF ISSUANCE ESTIMATES AND ACTUALS

Following the improvements to the District's credit ratings by Fitch and Moody's at the beginning of November, the District successfully sold \$500 million of new money general obligation bonds (the "Bonds") on November 8th. The Bonds were issued to finance additional school modernization and IT projects and included \$400 million of Measure RR Bonds and \$100 million of Measure Q Bonds. The sale was also the District's inaugural issuance of Sustainability Bonds. Per the International Capital Market Association (the "ICMA"), Sustainability Bonds are bonds where the proceeds will be applied to finance or refinance a combination of both "Green" and "Social" projects. To receive this designation, the Bonds were evaluated by an independent firm, Kestrel Verifiers, that provided a second party opinion that reflected the bonds' conformance with the Sustainability Bond Guidelines under ICMA.

The District achieved excellent results on the day of pricing with investor demand far exceeding the \$500 million of District bonds available for sale. The District received over \$1.76 billion of orders from over 150 investors, including over \$125 million of orders that were specifically influenced by the Sustainability Bonds designation. As a result of the strong market reception, the interest rates on the bonds were reduced over the course of the sale with the Bonds sold at a true interest cost of 4.27 percent over 25 years. Though interest rates have risen in 2022, long-term borrowing costs remain attractive in a historical context. The transaction closed on November 22nd.

Pursuant to Section 15146(b)(4) of the California Education Code and Senate Bill 450 of the 2017-18 legislative session, Exhibit A is a comparison of the good faith costs of issuance estimates versus the actual costs of issuance.

I would like to thank the Treasury team for their hard work on this new money GO bond sale.

Please call Timothy Rosnick at (213) 241-7989 if you have any questions.

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Exhibit A – Comparison of Good Faith Estimates & Actuals for the Bonds

(Pursuant to Section 15146(b)(4) of the California Education Code
and
Senate Bill 450 of the 2017-18 legislative session)

1. **True Interest Cost of the Bonds:** The rate necessary to discount the amounts payable on the respective principal and interest payment dates to the purchase price received for the Bonds.

Good Faith Estimate	Actuals	Difference
3.98%	4.27%	0.29%

2. **Finance Charge of the Bonds:** The sum of all fees and charges paid to third parties (or costs associated with the Bonds). The actual costs of issuance were $1,289,981 less than the good faith estimates.

Category	Good Faith Estimates	Actuals	Difference
Rating Agency – Moody's	$93,000	$93,000	$0
Rating Agency – Fitch	60,000	60,000	0
Rating Agency – Kroll	60,000	60,000	0
Bond Counsel	98,000	98,000	0
Disclosure Counsel	130,000	181,000	51,000
Municipal Advisor	90,000	110,000	20,000
Auditor	122,000	0	(122,000)
Underwriters' Discount	812,356	849,105	36,749
Measure RR Election Cost[1]	8,657,692	7,432,272	(1,225,420)
Other Expenses/Contingency	180,250	129,940	(50,310)
Total	**$10,303,298**	**$9,013,317**	**(1,289,981)**

[1]Reimbursement of Measure RR election costs limited in this sale to $7,432,272; additional election costs of $1,225,420 expected to be recovered in the District's next Measure RR GO bond sale

3. **Amount of Proceeds Received:** The amount of proceeds received by the District for the sale of the Bonds less the finance charge of the Bonds described in 2 above and any reserves or capitalized interest paid or funded with the proceeds of the Bonds.

Good Faith Estimate	Actuals	Difference
$500,000,000.00	$500,000,000.00	$0.00

4. **Total Payment Amount:** The sum total of all payments the District will make to pay debt service on the Bonds plus the finance charge of the Bonds described in 2 above not paid with the proceeds of the Bonds, calculated to the final maturity of the Bonds.

Good Faith Estimate	Actuals	Difference
$787,629,383	$767,804,797	($19,824,586)